

FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB1403 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Adopted: _____

Reading Clerk

Amendment submitted by: Daniel Pae

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED

SENATE BILL NO. 1403

By: Rader of the Senate

and

Pae of the House

FLOOR SUBSTITUTE

An Act relating to incentives; amending 68 O.S. 2021, Sections 3603, as amended by Section 1, Chapter 102, O.S.L. 2025, 3604, as last amended by Section 157, Chapter 452, O.S.L. 2024, 3604.1, 3606, as last amended by Section 2, Chapter 29, 1st Extraordinary Session, O.S.L. 2023, 3905, 3914, and 3915 (68 O.S. Supp. 2025, Sections 3603, 3604 and 3606), which relate to quality jobs incentives; modifying definitions; providing for certain transportation services by rail or inland water; modifying wage requirement; modifying period for filing a claim for rebate; providing for termination of incentive payments; updating statutory language; updating statutory references; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 3603, as amended by Section 1, Chapter 102, O.S.L. 2025 (68 O.S. Supp. 2025, Section 3603), is amended to read as follows:

1 Section 3603. A. As used in the Oklahoma Quality Jobs Program

2 Act:

3 1. a. "Basic industry" means:

4 (1) those manufacturing activities defined or
5 classified in the NAICS Manual under Industry
6 Sector Nos. 31, 32 and 33, Industry Group No.
7 5111 or Industry No. 11331,

8 (2) those electric power generation, transmission and
9 distribution activities defined or classified in
10 the NAICS Manual under U.S. Industry Nos. 221111
11 through 221122, if:

12 (a) an establishment engaged therein qualifies
13 as an exempt wholesale generator as defined
14 by 15 U.S.C., Section 79z-5a,

15 (b) the exempt wholesale generator facility
16 consumes from sources located within the
17 state at least ninety percent (90%) of the
18 total energy used to produce the electrical
19 output which qualifies for the specialized
20 treatment provided by the Energy Policy Act
21 of 1992, P.L. 102-486, 106 Stat. 2776, as
22 amended, and federal regulations adopted
23 pursuant thereto,

1 (c) the exempt wholesale generator facility
2 sells to purchasers located outside the
3 state for consumption in activities located
4 outside the state at least ninety percent
5 (90%) of the total electrical energy output
6 which qualifies for the specialized
7 treatment provided by the Energy Policy Act
8 of 1992, P.L. 102-486, 106 Stat. 2776, as
9 amended, and federal regulations adopted
10 pursuant thereto, and

11 (d) the facility is constructed on or after July
12 1, 1996,

13 (3) those administrative and facilities support
14 service activities defined or classified in the
15 NAICS Manual under Industry Group Nos. 5611 and
16 5612, Industry Nos. 51821, 519130, 52232 and
17 56142 or U.S. Industry Nos. 524291 and 551114,
18 those other support activities for air
19 transportation defined or classified in the NAICS
20 Manual under Industry Group No. 488190, and those
21 support, repair, and maintenance service
22 activities for the wind industry defined or
23 classified in the NAICS Manual under Industry
24 Group No. 811310,

1 (4) those professional, scientific and technical
2 service activities defined or classified in the
3 NAICS Manual under U.S. Industry Nos. 541710 and
4 541380,

5 (5) distribution centers for retail or wholesale
6 businesses defined or classified in the NAICS
7 Manual under Sector No. 42, if forty percent
8 (40%) or more of the inventory processed through
9 such warehouse is shipped out-of-state,

10 (6) ~~those adjustment and collection service~~
11 ~~activities defined or classified in the NAICS~~
12 ~~Manual under U.S. Industry No. 561440, if~~
13 ~~seventy-five percent (75%) of the loans to be~~
14 ~~serviced were made by out-of-state debtors, those~~
15 agribusiness activities defined or classified in
16 the NAICS Manual under Industry Group No. 1114,
17 115111, 115114, 115210, 115310,

18 (7) (a) those air transportation activities defined
19 or classified in the NAICS Manual under
20 Industry Group No. 4811, if the following
21 facilities are located in this state:

22 (i) the corporate headquarters of an
23 establishment classified therein, and
24

(ii) a facility or facilities at which reservations for transportation provided by such an establishment are processed, whether such services are performed by employees of the establishment, by employees of a subsidiary of or other entity affiliated with the establishment or by employees of an entity with whom the establishment has contracted for the performance of such services; provided, this provision shall not disqualify an establishment which uses an out-of-state entity or employees for some reservations services, ~~or~~

(b) those air transportation activities defined or classified in the NAICS Manual under Industry Group No. 4811, if an establishment classified therein has or will have within one (1) year sales of at least seventy-five percent (75%) of its total sales, as determined by the Incentive Approval Committee pursuant to the provisions of subsection B of this section, to out-of-

1 state customers or buyers, to in-state
2 customers or buyers if the product or
3 service is resold by the purchaser to an
4 out-of-state customer or buyer for ultimate
5 use, or to the federal government,

6 (c) those rail transportation services defined
7 or classified in the NAICS Manual under
8 Industry Group No. 48211 and 488210,

9 (d) the inland water transportation services
10 defined or classified in the NAICS Manual
11 under Industry Group No. 483211,

12 (8) flight training services activities defined or
13 classified in the NAICS Manual under U.S.
14 Industry Group No. 611512, which for purposes of
15 the Oklahoma Quality Jobs Program Act shall
16 include new direct jobs for which gross payroll
17 existed on or after January 1, 2003, as
18 identified in the NAICS Manual,

19 (9) the following, if an establishment classified
20 therein has or will have within one (1) year
21 sales of at least seventy-five percent (75%) of
22 its total sales, as determined by the Incentive
23 Approval Committee pursuant to the provisions of
24 subsection B of this section, to out-of-state

1 customers or buyers, to in-state customers or
2 buyers if the product or service is resold by the
3 purchaser to an out-of-state customer or buyer
4 for ultimate use, or to the federal government:

5 (a) those transportation and warehousing
6 activities defined or classified in the
7 NAICS Manual under Industry Subsector No.
8 493, if not otherwise listed in this
9 paragraph, Industry Subsector Nos. 482 and
10 484 and Industry Group Nos. 4884 through
11 4889,

12 (b) those passenger transportation activities
13 defined or classified in the NAICS Manual
14 under Industry Nos. 561510 and 561599,

15 (c) those freight or cargo transportation
16 activities defined or classified in the
17 NAICS Manual under Industry No. 541614,

18 (d) those insurance activities defined or
19 classified in the NAICS Manual under
20 Industry Group No. 5241,

21 (e) those services to dwellings and other
22 buildings, as defined or classified in the
23 NAICS Manual under Industry Group No. 5617,
24

1 excluding U.S. Industry Nos. 561730, 56171,
2 56172, 56174 and 56179,

3 (f) those equipment rental and leasing
4 activities defined or classified in the
5 NAICS Manual under Industry Group No. 5324,

6 (g) those information technology and other
7 computer-related service activities defined
8 or classified in the NAICS Manual under
9 Industry Group Nos. 5112, 5182, 5191 and
10 5415,

11 (h) those business support service activities
12 defined or classified in the NAICS Manual
13 under U.S. Industry Nos. 561410 through
14 561430, excluding 56143, and Industry No.
15 51911,

16 (i) those medical and diagnostic laboratory
17 activities defined or classified in the
18 NAICS Manual under Industry Group No. 6215,

19 (j) those professional, scientific and technical
20 service activities defined or classified in
21 the NAICS Manual under Industry Group Nos.
22 5412, 5414, 5415, 5416 and 5417, Industry
23 Nos. 54131, 54133, 54136 and 54137, and U.S.
24

Industry No. 541990, if not otherwise listed
in this paragraph,

(k) those communication service activities
defined or classified in the NAICS Manual
under Industry Nos. 51741 and 51791,

(l) those refuse systems activities defined or
classified in the NAICS Manual under
Industry Group No. 5622, provided that the
establishment is primarily engaged in the
capture and distribution of methane gas
produced within a landfill,

(m) general wholesale distribution of groceries,
defined or classified in the NAICS Manual
under Industry Group Nos. 4244 and 4245,

(n) those activities relating to processing of
insurance claims, defined or classified in
the NAICS Manual under U.S. Industry Nos.
524210 and 524292; provided, activities
described in U.S. Industry Nos. 524210 and
524292 in the NAICS Manual other than
processing of insurance claims shall not be
included for purposes of this subdivision,

- (o) those agricultural activities classified in the NAICS Manual under U.S. Industry Nos. 112120 and 112310,
- (p) those professional organization activities classified in the NAICS Manual under U.S. Industry No. 813910 and 813920,
- (q) alternative energy structure construction classified in the NAICS Manual under U.S. Industry No. 237130,
- (r) solar reflective coating application classified in the NAICS Manual under U.S. Industry No. 238160,
- (s) solar heating equipment installation classified in the NAICS Manual under U.S. Industry No. 238220,
- (t) those wired telecommunications carriers classified in the NAICS Manual under U.S. Industry No. 517110, and
- (u) those securities, commodity contracts and investment activities classified in the NAICS Manual under Industry Subsector No. 523,
- (10) those activities related to extraction or pipeline transportation of petroleum, natural gas

1 or refined petroleum products, defined or
2 classified in the NAICS Manual under Industry
3 Group No. 2111, 213111, 213112 or 486, subject to
4 the limitations provided in paragraph 3 of this
5 subsection and paragraph 3 of subsection B of
6 this section,

7 (11) those activities performed by the federal
8 civilian workforce at a facility of the Federal
9 Aviation Administration located in this state if
10 the Director of the Oklahoma Department of
11 Commerce determines or is notified that the
12 federal government is soliciting proposals or
13 otherwise inviting states to compete for
14 additional federal civilian employment or
15 expansion of federal civilian employment at such
16 facilities,

17 (12) those activities defined or classified in the
18 NAICS Manual under U.S. Industry No. 711211 (2007
19 version),

20 (13) those real estate or brokerage activities
21 classified in the NAICS Manual under U.S.
22 Industry No. 53120 for which at least seventy-
23 five percent (75%) of the establishment's
24 revenues are attributed to out-of-state sales and

1 at least seventy-five percent (75%) of the real
2 estate transactions generating those revenues are
3 attributed to real property located outside the
4 State of Oklahoma, or

5 (14) those support activities for rail transportation
6 and those support activities for water
7 transportation defined or classified in the NAICS
8 Manual under U.S. Industry Nos. 4882 and 4883.

9 b. An establishment described in subparagraph a of this
10 paragraph shall not be considered to be engaged in a
11 basic industry unless it offers, or will offer within
12 one hundred eighty (180) days of employment, a basic
13 health benefits plan to the individuals it employs in
14 new direct jobs in this state which is determined by
15 the Oklahoma Department of Commerce to consist of the
16 following elements or elements substantially
17 equivalent thereto:

18 (1) not more than fifty percent (50%) of the premium
19 shall be paid by the employee,

20 (2) coverage for basic hospital care,

21 (3) coverage for physician care,

22 (4) coverage for mental health care,

23 (5) coverage for substance abuse treatment,

24 (6) coverage for prescription drugs, and

1 (7) coverage for prenatal care;

2 2. "Change-in-control event" means the transfer to one or more
3 unrelated establishments or unrelated persons, of either:

- 4 a. beneficial ownership of more than fifty percent (50%)
5 in value and more than fifty percent (50%) in voting
6 power of the outstanding equity securities of the
7 transferred establishment, or
8 b. more than fifty percent (50%) in value of the assets
9 of an establishment.

10 A transferor shall be treated as related to a transferee if more
11 than fifty percent (50%) of the voting interests of the transferor
12 and transferee are owned, directly or indirectly, by the other or
13 are owned, directly or indirectly, by the same person or persons,
14 unless such transferred establishment has an outstanding class of
15 equity securities registered under Sections 12(b) or 15(d) of the
16 Securities Exchange Act of 1934, as amended, in which event the
17 transferor and transferee will be treated as unrelated; provided, an
18 establishment applying for the Oklahoma Quality Jobs Program Act as
19 a result of a change-in-control event is required to apply within
20 one hundred eighty (180) days of the change-in-control event to
21 qualify for consideration. An establishment entering the Oklahoma
22 Quality Jobs Program Act as the result of a change-in-control event
23 shall be required to maintain a level of new direct jobs as agreed
24 to in its contract with the Oklahoma Department of Commerce and to

1 pay new direct jobs an average annualized wage which equals or
2 exceeds one hundred twenty-five percent (125%) of the average county
3 wage as that percentage is determined by the Oklahoma Department of
4 Commerce based upon the most recent U.S. Department of Commerce data
5 for the county in which the new jobs are located. For purposes of
6 this paragraph, healthcare premiums paid by the applicant for
7 individuals in new direct jobs shall not be included in the
8 annualized wage. Such establishment entering the Oklahoma Quality
9 Jobs Program Act as the result of a change-in-control event shall be
10 required to retain the contracted average annualized wage and
11 maintain the contracted maintenance level of new direct jobs numbers
12 as certified by the Tax Commission. If the required average
13 annualized wage or the required new direct jobs numbers do not equal
14 or exceed such contracted level during any quarter, the quarterly
15 incentive payments shall not be made and shall not be resumed until
16 such time as such requirements are met. An establishment described
17 in this paragraph shall be required to repay all incentive payments
18 received under the Oklahoma Quality Jobs Program Act if the
19 establishment is determined by the Tax Commission to no longer have
20 business operations in the state within three (3) years from the
21 beginning of the calendar quarter for which the first incentive
22 payment claim is filed;

23 3. "New direct job":
24

1 a. means full-time-equivalent employment in this state in
2 an establishment which has qualified to receive an
3 incentive payment pursuant to the provisions of the
4 Oklahoma Quality Jobs Program Act which employment did
5 not exist in this state prior to the date of approval
6 by the Department of the application of the
7 establishment pursuant to the provisions of Section
8 3604 of this title and with respect to an
9 establishment qualifying for incentive payments
10 pursuant to division (12) of subparagraph a of
11 paragraph 1 of this subsection shall not include
12 compensation paid to an employee or independent
13 contractor for an athletic contest conducted in the
14 state if the compensation is paid by an entity that
15 does not have its principal place of business in the
16 state or that does not own real or personal property
17 having a market value of at least One Million Dollars
18 (\$1,000,000.00) located in the state, and the
19 employees or independent contractors of such entity
20 are compensated to compete against the employees or
21 independent contractors of an establishment that
22 qualifies for incentive payments pursuant to division
23 (12) of subparagraph a of paragraph 1 of this
24 subsection and which is organized under Oklahoma law

1 or that is lawfully registered to do business in the
2 state and which does have its principal place of
3 business located in the state and owns real or
4 personal property having a market value of at least
5 One Million Dollars (\$1,000,000.00) located in the
6 state; provided, that if an application of an
7 establishment is approved by the Oklahoma Department
8 of Commerce after a change-in-control event and the
9 Director of the Oklahoma Department of Commerce
10 determines that the jobs located at such establishment
11 are likely to leave the state, "new direct job" shall
12 include employment that existed in this state prior to
13 the date of application which is retained in this
14 state by the new establishment following a change in
15 control event, if such job otherwise qualifies as a
16 new direct job, and

- 17 b. shall include full-time-equivalent employment in this
18 state of employees who are employed by an employment
19 agency or similar entity other than the establishment
20 which has qualified to receive an incentive payment
21 and who are leased or otherwise provided under
22 contract to the qualified establishment, if such job
23 did not exist in this state prior to the date of
24 approval by the Department of the application of the

1 establishment or the job otherwise qualifies as a new
2 direct job following a change-in-control event. The
3 leasing of employees by the establishment or employees
4 provided under contract with an establishment shall
5 constitute an employer-employee relationship between
6 those employees and the establishment. A job shall be
7 deemed to exist in this state prior to approval of an
8 application if the activities and functions for which
9 the particular job exists have been ongoing at any
10 time within six (6) months prior to such approval.
11 With respect to establishments defined in division
12 (10) of subparagraph a of paragraph 1 of this
13 subsection, new direct jobs shall be limited to those
14 jobs directly comprising the corporate headquarters of
15 or directly relating to manufacturing, maintenance,
16 administrative, financial, engineering, surveying,
17 geological or geophysical services performed by the
18 establishment. Under no circumstances shall
19 employment relating to field services be considered
20 new direct jobs;

21 4. "Estimated direct state benefits" means the tax revenues
22 projected by the Department to accrue to the state as a result of
23 new direct jobs;
24

1 5. "Estimated direct state costs" means the costs projected by
2 the Department to accrue to the state as a result of new direct
3 jobs. Such costs shall include, but not be limited to:

- 4 a. the costs of education of new state resident children,
- 5 b. the costs of public health, public safety and
6 transportation services to be provided to new state
7 residents,
- 8 c. the costs of other state services to be provided to
9 new state residents, and
- 10 d. the costs of other state services;

11 6. "Estimated net direct state benefits" means the estimated
12 direct state benefits less the estimated direct state costs;

13 7. "Net benefit rate" means the estimated net direct state
14 benefits computed as a percentage of gross payroll; provided:

- 15 a. except as otherwise provided in this paragraph, the
16 net benefit rate may be variable and shall not exceed
17 five percent (5%),
- 18 b. the net benefit rate shall not exceed six percent (6%)
19 in connection with an establishment which is owned and
20 operated by an entity which has been awarded a United
21 States Department of Defense contract for which:
22 (1) bids were solicited and accepted by the United
23 States Department of Defense from facilities
24 located outside this state,

1 (2) the term is or is renewable for not less than
2 twenty (20) years, and

3 (3) the average annual salary, excluding benefits
4 which are not subject to Oklahoma income taxes,
5 for new direct jobs created as a direct result of
6 the awarding of the contract is projected by the
7 Oklahoma Department of Commerce to equal or
8 exceed Forty Thousand Dollars (\$40,000.00) within
9 three (3) years of the date of the first
10 incentive payment,

11 c. except as otherwise provided in subparagraph d of this
12 paragraph, in no event shall incentive payments,
13 cumulatively, exceed the estimated net direct state
14 benefits,

15 d. the net benefit rate shall be five percent (5%) for an
16 establishment locating:

17 (1) in an opportunity zone located in a high-
18 employment county, as such terms are defined in
19 subsection G of Section 3604 of this title, or

20 (2) in a county in which:

21 (a) the per capita personal income, as
22 determined by the Department, is eighty-five
23 percent (85%) or less of the statewide
24 average per capita personal income,

1 (b) the population has decreased over the
2 previous ten (10) years, as determined by
3 the Oklahoma Department of Commerce based on
4 the most recent U.S. Department of Commerce
5 data, or

6 (c) the unemployment rate exceeds the lesser of
7 five percent (5%) or two percentage points
8 above the state average unemployment rate as
9 certified by the Oklahoma Employment
10 Security Commission,

11 e. the net benefit rate shall not exceed six percent (6%)
12 in connection with an establishment which:

13 (1) is, as of the date of application, receiving
14 incentive payments pursuant to the Oklahoma
15 Quality Jobs Program Act and has been receiving
16 such payments for at least one (1) year prior to
17 the date of application, and

18 (2) expands its operations in this state by creating
19 additional new direct jobs which pay average
20 annualized wages which equal or exceed one
21 hundred fifty percent (150%) of the average
22 annualized wages of new direct jobs on which
23 incentive payments were received during the
24 preceding calendar year,

- f. with respect to an establishment defined or classified in the NAICS Manual under U.S. Industry No. 711211 (2007 version) or any establishment defined or classified in the NAICS Manual as a U.S. Industry Number which is not included within the definition of "basic industry" as such term is defined in this section on April 17, 2008, the net benefit rate shall not exceed the highest rate of income tax imposed upon the Oklahoma taxable income of individuals pursuant to subparagraph (g) or subparagraph (h), as applicable, of paragraph 1 and paragraph 2 of subsection B of Section 2355 of this title. Any change in such highest rate of individual income tax imposed pursuant to the provisions of Section 2355 of this title shall be applicable to the computation of incentive payments to an establishment as described by this subparagraph and shall be effective for purposes of incentive payments based on payroll paid by such establishment on or after January 1 of any applicable year for which the net benefit rate is modified as required by this subparagraph, and
- g. the net benefit rate shall not exceed six percent (6%) in connection with an establishment which employs United States military veterans in at least ten

1 percent (10%) of its gross payroll. The net benefit
2 rate for an establishment which employs United States
3 military veterans in at least ten percent (10%) of its
4 payroll shall not be lower than five percent (5%).

5 Incentive payments made pursuant to the provisions of this
6 subparagraph shall be based upon payroll associated with such new
7 direct jobs. For purposes of this subparagraph, the amount of
8 health insurance premiums or other benefits paid by the
9 establishment shall not be included for purposes of computation of
10 the average annualized wage;

11 8. "Gross payroll" means wages, as defined in Section 2385.1 of
12 this title for new direct jobs;

13 9. a. "Establishment" means any business or governmental
14 entity, no matter what legal form, including, but not
15 limited to, a sole proprietorship; partnership;
16 limited liability company; corporation or combination
17 of corporations which have a central parent
18 corporation which makes corporate management decisions
19 such as those involving consolidation, acquisition,
20 merger or expansion; federal agency; political
21 subdivision of the State of Oklahoma; or trust
22 authority; provided, distinct, identifiable subunits
23 of such entities may be determined to be an
24 establishment, for all purposes of the Oklahoma

1 Quality Jobs Program Act, by the Department subject to
2 the following conditions:

3 (1) within three (3) years of the first complete
4 calendar quarter following the start date, the
5 entity must have a minimum payroll of Two Million
6 Five Hundred Thousand Dollars (\$2,500,000.00) and
7 the subunit must also have or will have a minimum
8 payroll of Two Million Five Hundred Thousand
9 Dollars (\$2,500,000.00),

10 (2) the subunit is engaged in an activity or service
11 or produces a product which is demonstratively
12 independent and separate from the entity's other
13 activities, services or products and could be
14 conducted or produced in the absence of any other
15 activity, service or production of the entity,

16 (3) has an accounting system capable of tracking or
17 facilitating an audit of the subunit's payroll,
18 expenses, revenue and production. Limited
19 interunit overlap of administrative and
20 purchasing functions shall not disqualify a
21 subunit from consideration as an establishment by
22 the Department,

23 (4) the entity has not previously had a subunit
24 determined to be an establishment pursuant to

1 this section; provided, the restriction set forth
2 in this division shall not apply to subunits
3 which qualify pursuant to the provisions of
4 subparagraph b of paragraph 7 of this subsection,
5 and

6 (5) it is determined by the Department that the
7 entity will have a probable net gain in total
8 employment within the incentive period.

9 b. The Department may promulgate rules to further limit
10 the circumstances under which a subunit may be
11 considered an establishment. The Department shall
12 promulgate rules to determine whether a subunit of an
13 entity achieves a net gain in total employment. The
14 Department shall establish criteria for determining
15 the period of time within which such gain must be
16 demonstrated and a method for determining net gain in
17 total employment;

18 10. "NAICS Manual" means any manual, book or other publication
19 containing the North American Industry Classification System, United
20 States, 1997, promulgated by the Office of Management and Budget of
21 the United States of America, or the latest revised edition;

22 11. "Qualified federal contract" means a contract between an
23 agency or instrumentality of the United States government, including
24 but not limited to the Department of Defense or any branch of the

1 United States Armed Forces, but exclusive of any contract performed
2 for the Federal Emergency Management Agency as a direct result of a
3 natural disaster declared by the Governor or the President of the
4 United States with respect to damage to property located in Oklahoma
5 or loss of life or personal injury to persons in Oklahoma, and a
6 lawfully recognized business entity, whether or not the business
7 entity is organized under the laws of the State of Oklahoma or
8 whether or not the principal place of business of the business
9 entity is located within the State of Oklahoma, for the performance
10 of services, including but not limited to testing, research,
11 development, consulting or other services in a basic industry, if
12 the contract involves the performance of such services performed on
13 or after July 1, 2009, by the employees of the business entity
14 within the State of Oklahoma or if the contract involves the
15 performance of such services performed on or after July 1, 2009, by
16 employees of a lawfully recognized business entity that is a
17 subcontractor of the business entity with which the prime contract
18 has been formed. A qualified federal contract described in this
19 paragraph shall not qualify unless both the qualified federal
20 contractor and any subcontractors originally involved in the work or
21 added subsequently during the period of performance verify to the
22 qualified federal contractor verifier that it offers, or will offer
23 within one hundred eighty (180) days of employment of its respective
24 employees, a basic health benefits plan as described in subparagraph

b of paragraph 1 of this subsection to individuals who perform
qualified labor hours in this state;

12. "Qualified federal contractor verifier" means a nonprofit
entity organized under the laws of the State of Oklahoma, having an
affiliation with a comprehensive university which is part of The
Oklahoma State System of Higher Education, and having the following
characteristics:

- a. established multiyear classified and unclassified
indefinite-delivery/indefinite-quantity federal
contract vehicles in excess of Fifty Million Dollars
(\$50,000,000.00),
- b. current capability to sponsor and maintain personnel
security clearances and authorized by the federal
government to handle and perform classified work up to
the Top Secret Sensitive Compartmented Information
levels,
- c. at least one on-site federally certified Sensitive
Compartmented Information Facility,
- d. on-site secure mass data storage complex with the
capability of isolating, segregating and protecting
corporate proprietary and classified information,
- e. trusted agent status by maintaining no ownership of,
vested interest in, nor royalty production from any
intellectual property,

- f. at least one hundred thousand (100,000) square feet of configurable laboratory and support space,
- g. the direct access to restricted air space through a formalized memorandum of agreement with the Department of Defense,
- h. at least five thousand (5,000) acres available for outdoor testing and training facilities, and
- i. the ability to house state-of-the-art surety facilities, including chemical, biological, radiological, explosives, electronics, and unmanned systems laboratories and ranges;

13. "SIC Manual" means the 1987 revision to the Standard Industrial Classification Manual, promulgated by the Office of Management and Budget of the United States of America;

14. "Start date" means the date on which an establishment may begin accruing benefits for the creation of new direct jobs, which date shall be determined by the Department;

15. "Effective date" means the date of approval of a contract under which incentive payments will be made pursuant to the Oklahoma Quality Jobs Program Act, which shall be the date the signed and accepted incentive contract is received by the Department; provided, an approved project may have a start date which is different from the effective date;

1 16. "Total qualified labor hours" means the reimbursed payment
2 amount for hours of work performed by the State of Oklahoma
3 workforce of a qualified federal contractor or the State of Oklahoma
4 workforce of a subcontractor of a qualified federal contractor and
5 which are required for the full performance of a qualified federal
6 contract;

7 17. "Qualified labor rate" means the fully reimbursed labor
8 rate paid through a qualified federal contract for qualified labor
9 hours to the qualified federal contractor or subcontractor;

10 18. "Qualified federal contractor" means a business entity:

- 11 a. maintaining a prime contract with the federal
12 government as defined in paragraph 11 of this
13 subsection,
- 14 b. providing notice of intent to apply to the Department
15 within one hundred eighty (180) days of July 1, 2010,
16 or one hundred eighty (180) days of the date of the
17 award of a qualified federal contract or award of a
18 new qualified subcontract under an existing qualified
19 federal contract, and
- 20 c. adding substantively to the contract by performing at
21 least eight percent (8%) of the total labor whether
22 qualified and nonqualified labor as determined by the
23 federal contractor verifier on a direct contract or
24 individual task order or delivery order on an

1 indefinite-delivery/indefinite-quantity or other
2 blanket contract vehicle.

3 Should a prime contractor provide notice to the Department of
4 its intent not to apply for incentive for a qualified federal
5 contract or fails to qualify under the criteria above,
6 subcontractors in order of tier ranking as determined by the federal
7 contract verifier may assume the role of the prime and apply to
8 become a qualified federal contractor provided the entity meets the
9 same criteria above with the exception that notice of intent to
10 apply with the Department must be provided within sixty (60) days of
11 the prime's disqualification or one hundred eighty (180) days of the
12 award of its subcontract, whichever is later; and

13 19. "Proxy establishment" means a public trust which:

- 14 a. is organized and existing under Section 176 of Title
15 60 of the Oklahoma Statutes for the benefit of a
16 geographic area which includes a city or county or
17 some combination thereof, and
18 b. benefits a geographic area where new direct jobs which
19 meet the requirements of the Oklahoma Quality Jobs
20 Program Act are created by an establishment, other
21 than the proxy establishment, which is a branch of the
22 Armed Forces of the United States.

23 A proxy establishment may be determined to be an establishment
24 for all purposes of the Oklahoma Quality Jobs Program Act by the

1 Department and incentive payments may be made to such proxy
2 establishment for new direct jobs otherwise qualified pursuant to
3 the Oklahoma Quality Jobs Program Act. The Department may
4 promulgate rules to further specify the circumstances under which a
5 proxy establishment may be considered an establishment for the
6 purposes of making application for incentive payments pursuant to
7 the Oklahoma Quality Jobs Program Act. Provided however, that with
8 respect to any data on qualifying direct new jobs from a branch of
9 the Armed Forces of the United States, such rules shall only require
10 a proxy establishment to provide such data as would otherwise be
11 publicly releasable by the branch of the Armed Forces of the United
12 States.

13 B. The Incentive Approval Committee is hereby created and shall
14 consist of the Director of the Office of Management and Enterprise
15 Services, the Director of the Department and one member of the
16 Oklahoma Tax Commission appointed by the Tax Commission, or a
17 designee from each agency approved by such member. It shall be the
18 duty of the Committee to determine the eligibility of all applicants
19 for the Oklahoma Quality Jobs Program Act, subject to the applicable
20 requirements.

21 C. For an establishment defined as a "basic industry" pursuant
22 to division (4) of subparagraph a of paragraph 1 of subsection A of
23 this section, the Incentive Approval Committee shall consist of the
24 members provided by subsection B of this section and the Executive

1 Director of the Oklahoma Center for the Advancement of Science and
2 Technology, or a designee from the Center appointed by the Executive
3 Director.

4 SECTION 2. AMENDATORY 68 O.S. 2021, Section 3604, as
5 last amended by Section 157, Chapter 452, O.S.L. 2024 (68 O.S. Supp.
6 2025, Section 3604), is amended to read as follows:

7 Section 3604. A. Except as otherwise provided in subsection I
8 or subsection L of this section, an establishment which meets the
9 qualifications specified in the Oklahoma Quality Jobs Program Act
10 may receive quarterly incentive payments for a ten-year period from
11 the Oklahoma Tax Commission pursuant to the provisions of the
12 Oklahoma Quality Jobs Program Act; provided, such an establishment
13 defined or classified in the ~~NAICS~~ North American Industry
14 Classification System (NAICS) Manual under U.S. Industry No. 711211
15 (2007 version) may receive quarterly incentive payments for a
16 thirty-year period. The amount of such payments shall be equal to
17 the net benefit rate multiplied by the actual gross payroll of new
18 direct jobs for a calendar quarter as verified by the Oklahoma
19 Employment Security Commission. For an establishment defined or
20 classified in the NAICS Manual under U.S. Industry No. 711211 (2007
21 version) that entered into a contract pursuant to the Oklahoma
22 Quality Jobs Program Act with the Oklahoma Department of Commerce
23 before ~~the effective date of this act~~ November 1, 2023:
24

1 1. The contract shall be extended from fifteen (15) years to
2 thirty (30) years; and

3 2. The extension shall not include additional money awarded but
4 shall allow for payments to continue for the thirty-year period, or
5 until the net benefit for the new direct jobs for the original
6 contract has been fully paid out as calculated based upon the
7 original application.

8 B. In order to receive incentive payments, an establishment
9 shall apply to the Oklahoma Department of Commerce. The application
10 shall be on a form prescribed by the Department and shall contain
11 such information as may be required by the Department to determine
12 if the applicant is qualified. An establishment may apply for an
13 effective date for a project, which shall not be more than twenty-
14 four (24) months from the date the application is submitted to the
15 Department.

16 C. Except as otherwise provided by subsection D or E of this
17 section, in order to qualify to receive such payments, the
18 establishment applying shall be required to:

19 1. Be engaged in a basic industry;

20 2. Have an annual gross payroll for new direct jobs projected
21 by the Department to equal or exceed Two Million Five Hundred
22 Thousand Dollars (\$2,500,000.00) within three (3) years of the first
23 complete calendar quarter following the start date; and
24

1 3. Have a number of full-time-equivalent employees subject to
2 the tax imposed by Section 2355 of this title and working an annual
3 average of thirty (30) or more hours per week in new direct jobs
4 located in this state equal to or in excess of eighty percent (80%)
5 of the total number of new direct jobs.

6 D. In order to qualify to receive incentive payments as
7 authorized by the Oklahoma Quality Jobs Program Act, an
8 establishment engaged in an activity described under:

9 1. Industry Group Nos. 3111 through 3119 of the NAICS Manual
10 shall be required to:

11 a. have an annual gross payroll for new direct jobs
12 projected by the Department to equal or exceed One
13 Million Five Hundred Thousand Dollars (\$1,500,000.00)
14 within three (3) years of the first complete calendar
15 quarter following the start date and make, or which
16 will make within one (1) year, at least seventy-five
17 percent (75%) of its total sales, as determined by the
18 Incentive Approval Committee pursuant to the
19 provisions of subsection B of Section 3603 of this
20 title, to out-of-state customers or buyers, to in-
21 state customers or buyers if the product or service is
22 resold by the purchaser to an out-of-state customer or
23 buyer for ultimate use, or to the federal government,
24 unless the annual gross payroll equals or exceeds Two

1 Million Five Hundred Thousand Dollars (\$2,500,000.00)

2 in which case the requirements for purchase of output
3 provided by this subparagraph shall not apply, and

- 4 b. have a number of full-time-equivalent employees
5 working an average of thirty (30) or more hours per
6 week in new direct jobs equal to or in excess of
7 eighty percent (80%) of the total number of new direct
8 jobs; and

9 2. Division (4) of subparagraph a of paragraph 1 of subsection
10 A of Section 3603 of this title, shall be required to:

- 11 a. have an annual gross payroll for new direct jobs
12 projected by the Department to equal or exceed One
13 Million Five Hundred Thousand Dollars (\$1,500,000.00)
14 within three (3) years of the first complete calendar
15 quarter following the start date, and

- 16 b. have a number of full-time-equivalent employees
17 working an average of thirty (30) or more hours per
18 week in new direct jobs equal to or in excess of
19 eighty percent (80%) of the total number of new direct
20 jobs.

21 E. 1. An establishment which locates its principal business
22 activity within a site consisting of at least ten (10) acres which:

- 23 a. is a federal Superfund removal site,
24

1 b. is listed on the National Priorities List established
2 under Section 9605 of Title 42 of the United States
3 Code,

4 c. has been formally deferred to the state in lieu of
5 listing on the National Priorities List, or

6 d. has been determined by the Department of Environmental
7 Quality to be contaminated by any substance regulated
8 by a federal or state statute governing environmental
9 conditions for real property pursuant to an order of
10 the Department of Environmental Quality,

11 shall qualify for incentive payments irrespective of its actual
12 gross payroll or the number of full-time-equivalent employees
13 engaged in new direct jobs.

14 2. In order to qualify for the incentive payments pursuant to
15 this subsection, the establishment shall conduct the activity
16 resulting in at least fifty percent (50%) of its Oklahoma taxable
17 income or adjusted gross income, as determined under Section 2358 of
18 this title, whether from the sale of products or services or both
19 products and services, at the physical location which has been
20 determined not to comply with the federal or state statutes
21 described in this subsection with respect to environmental
22 conditions for real property. The establishment shall be subject to
23 all other requirements of the Oklahoma Quality Jobs Program Act
24 other than the exemptions provided by this subsection.

1 3. In order to qualify for the incentive payments pursuant to
2 this subsection, the entity shall obtain from the Department of
3 Environmental Quality a letter of concurrence that:

4 a. the site designated by the entity does meet one or
5 more of the requirements listed in paragraph 1 of this
6 subsection, and

7 b. the site is being or has been remediated to a level
8 which is consistent with the intended use of the
9 property.

10 In making its determination, the Department of Environmental
11 Quality may rely on existing data and information available to it,
12 but may also require the applying entity to provide additional data
13 and information, as necessary.

14 4. If authorized by the Department of Environmental Quality
15 pursuant to paragraph 3 of this subsection, the entity may utilize a
16 remediated portion of the property for its intended purpose prior to
17 remediation of the remainder of the site, and shall qualify for
18 incentive payments based on employment associated with the portion
19 of the site.

20 F. Except as otherwise provided by subsection G of this
21 section, for applications submitted on and after June 4, 2003, in
22 order to qualify to receive incentive payments as authorized by the
23 Oklahoma Quality Jobs Program Act, in addition to other
24 qualifications specified herein, an establishment shall be required

1 to pay new direct jobs an average annualized wage which equals or
2 exceeds:

3 1. One hundred ten percent (110%) of the average county wage as
4 determined by the Oklahoma Department of Commerce based on the most
5 recent ~~U.S.~~ United States Department of Commerce data for the county
6 in which the new direct jobs are located. For purposes of this
7 paragraph, health care premiums paid by the applicant for
8 individuals in new direct jobs shall be included in the annualized
9 wage; or

10 2. One hundred percent (100%) of the average county wage as
11 that percentage is determined by the Oklahoma Department of Commerce
12 based upon the most recent ~~U.S.~~ United States Department of Commerce
13 data for the county in which the new jobs are located. For purposes
14 of this paragraph, health care premiums paid by the applicant for
15 individuals in new direct jobs shall not be included in the
16 annualized wage.

17 Provided, no average wage requirement shall exceed Twenty-five
18 Thousand Dollars (\$25,000.00), in any county. This maximum wage
19 threshold shall be indexed and modified from time to time based on
20 the latest Consumer Price Index year-to-date percent change release
21 as of the date of the annual average county wage data release from
22 the Bureau of Economic Analysis of the ~~U.S.~~ United States Department
23 of Commerce.

1 G. 1. As used in this subsection, "opportunity zone" means one
2 or more census tracts in which, according to the most recent Federal
3 Decennial Census, at least thirty percent (30%) of the residents
4 have annual gross household incomes from all sources below the
5 poverty guidelines established by the ~~U.S.~~ United States Department
6 of Health and Human Services. An establishment which is otherwise
7 qualified to receive incentive payments and which locates its
8 principal business activity in an opportunity zone shall not be
9 subject to the requirements of subsection F of this section.

10 2. As used in this subsection:

11 a. "negative economic event" means:

12 (1) a man-made disaster or natural disaster as
13 defined in Section 683.3 of Title 63 of the
14 Oklahoma Statutes, resulting in the loss of a
15 significant number of jobs within a particular
16 county of this state, or

17 (2) an economic circumstance in which a significant
18 number of jobs within a particular county of this
19 state have been lost due to an establishment
20 changing its structure, consolidating with
21 another establishment, closing or moving all or
22 part of its operations out of this state, and

23 b. "significant number of jobs" means Local Area

24 Unemployment Statistics (LAUS) data, as determined by

1 the United States Bureau of Labor Statistics, for a
2 county which are equal to or in excess of five percent
3 (5%) of the total amount of Local Area Unemployment
4 Statistics (LAUS) data for that county for the
5 calendar year, or most recent twelve-month period in
6 which employment is measured, preceding the event.

7 An establishment which is otherwise qualified to receive
8 incentive payments and which locates in a county in which a negative
9 economic event has occurred within the eighteen-month period
10 preceding the start date shall not be subject to the requirements of
11 subsection F of this section; provided, an establishment shall not
12 be eligible to receive incentive payments based upon a negative
13 economic event with respect to jobs that are transferred from one
14 county of this state to another.

15 H. The Oklahoma Department of Commerce shall determine if the
16 applicant is qualified to receive incentive payments.

17 I. If the applicant is determined to be qualified by the
18 Department and is not subject to the provisions of subparagraph d of
19 paragraph 7 of subsection A of Section 3603 of this title, the
20 Department shall conduct a ~~cost/benefit~~ cost-benefit analysis to
21 determine the estimated net direct state benefits and the net
22 benefit rate applicable for a ten-year period beginning with the
23 first complete calendar quarter following the start date and to
24 estimate the amount of gross payroll for a ten-year period beginning

1 with the first complete calendar quarter following the start date or
2 for a thirty-year period for an establishment defined or classified
3 in the NAICS Manual under U.S. Industry No. 711211 (2007 version).
4 In conducting such ~~cost/benefit~~ cost-benefit analysis, the
5 Department shall consider quantitative factors, such as the
6 anticipated level of new tax revenues to the state along with the
7 added cost to the state of providing services, and such other
8 criteria as deemed appropriate by the Department. In no event shall
9 incentive payments, cumulatively, exceed the estimated net direct
10 state benefits, except for applicants subject to the provisions of
11 subparagraph d of paragraph 7 of subsection A of Section 3603 of
12 this title.

13 J. Upon approval of such an application, the Department shall
14 notify the Tax Commission and shall provide it with a copy of the
15 contract and the results of the ~~cost/benefit~~ cost-benefit analysis.
16 The Tax Commission may require the qualified establishment to submit
17 such additional information as may be necessary to administer the
18 provisions of the Oklahoma Quality Jobs Program Act. The approved
19 establishment shall file quarterly claims with the Tax Commission
20 and shall continue to file such quarterly claims during the ten-year
21 incentive period to show its continued eligibility for incentive
22 payments, as provided in Section 3606 of this title, or until it is
23 no longer qualified to receive incentive payments. The
24 establishment may be audited by the Tax Commission to verify such

1 eligibility. Once the establishment is approved, an agreement shall
2 be deemed to exist between the establishment and the State of
3 Oklahoma, requiring the continued incentive payment to be made as
4 long as the establishment retains its eligibility as defined in and
5 established pursuant to this section and Sections 3603 and 3606 of
6 this title and within the limitations contained in the Oklahoma
7 Quality Jobs Program Act, which existed at the time of such
8 approval. An establishment described in this subsection shall be
9 required to repay all incentive payments received under the Oklahoma
10 Quality Jobs Program Act if the establishment is determined by the
11 Oklahoma Tax Commission to no longer have business operations in the
12 state within three (3) years from the beginning of the calendar
13 quarter for which the first incentive payment claim is filed.

14 K. A municipality with a population of less than one hundred
15 thousand (100,000) persons in which an establishment eligible to
16 receive quarterly incentive payments pursuant to the provisions of
17 this section is located may file a claim with the Tax Commission for
18 up to twenty-five percent (25%) of the amount of such payment. The
19 amount of such claim shall not exceed amounts paid by the
20 municipality for direct costs of municipal infrastructure
21 improvements to provide water and sewer service to the
22 establishment. Such claim shall not be approved by the Tax
23 Commission unless the municipality and the establishment have
24 entered into a written agreement for such claims to be filed by the

1 municipality prior to submission of the application of the
2 establishment pursuant to the provisions of this section. If such
3 claim is approved, the amount of the payment to the establishment
4 made pursuant to the provisions of Section 3606 of this title shall
5 be reduced by the amount of the approved claim by the municipality
6 and the Tax Commission shall issue a warrant to the municipality in
7 the amount of the approved claim in the same manner as warrants are
8 issued to qualifying establishments.

9 L. For any contract executed by an establishment on or after
10 August 2, 2018, five percent (5%) of the quarterly incentive payment
11 amount shall be transferred by the Oklahoma Tax Commission to the
12 Oklahoma Quick Action Closing Fund.

13 SECTION 3. AMENDATORY 68 O.S. 2021, Section 3604.1, is
14 amended to read as follows:

15 Section 3604.1. A. A qualified federal contractor may receive
16 quarterly incentive payments for renewable ten-year periods from the
17 Oklahoma Tax Commission pursuant to the provisions of the Oklahoma
18 Quality Jobs Program Act and the provisions of this section.

19 B. The amount of such payments shall be equal to a net benefit
20 rate of not less than twenty-five ~~hundredths~~ one-hundredths of one
21 percent (0.25%), but not greater than two percent (2%), multiplied
22 by the total qualified labor hours worked by employees of the
23 federal contractor or employees of a qualified federal
24 subcontractor, or both, pursuant to a qualified federal contract for

1 a calendar quarter as verified by the Oklahoma Employment Security
2 Commission and certified by a qualified federal contractor verifier.
3 The net benefit rate for a qualified federal contractor shall be
4 scaled to annual subcontracting goals that account for both total
5 qualified subcontract labor hours and the ratio of qualified
6 subcontract labor hours to total qualified labor hours. Unless
7 limited by the ~~cost/benefit~~ cost-benefit analysis, the net benefit
8 rate shall:

9 1. Not exceed twenty-five ~~hundredths~~ one-hundredths of one
10 percent (0.25%) when annual qualified subcontract labor hours are
11 less than Two Hundred Thousand Dollars (\$200,000.00) or when annual
12 qualified subcontract labor is less than one percent (1%) of the
13 annual total qualified labor hours claimed;

14 2. Not be less than five-tenths of one percent (0.5%) when
15 subcontract goals are met with a minimum of Two Hundred Thousand
16 Dollars (\$200,000.00) of annual total qualified subcontractor labor
17 hours and these hours are a minimum of one percent (1%) of the
18 annual total qualified hours claimed;

19 3. Not be less than one percent (1%) when subcontract goals are
20 met with a minimum of One Million Dollars (\$1,000,000.00) of annual
21 total qualified subcontractor labor hours and when these hours
22 represent a minimum of five percent (5%) of the annual total
23 qualified hours claimed;

1 4. Not be less than one and five-tenths percent (1.5%) when
2 subcontract goals are met with a minimum of Two Million Dollars
3 (\$2,000,000.00) of annual total qualified subcontractor labor hours
4 and these hours are a minimum of ten percent (10%) of the annual
5 total qualified hours claimed; and

6 5. Not be less than two percent (2.0%) when subcontract goals
7 are met with a minimum of Four Million Dollars (\$4,000,000.00) of
8 annual total qualified subcontractor labor hours and these hours are
9 a minimum of twenty percent (20%) of the annual total qualified
10 hours claimed.

11 C. In order to receive incentive payments, a qualified federal
12 contractor shall apply to the Oklahoma Department of Commerce within
13 one hundred eighty (180) days following the date of the award of a
14 qualified federal contract or award of a new qualified subcontract
15 under an existing qualified federal contract. The application shall
16 be on a form prescribed by the Department and shall contain such
17 information as may be required by the Department to determine if the
18 applicant is qualified. Once qualified by the Department, the
19 applicant shall submit qualified federal contracts to the federal
20 contract verifier. The federal contract verifier shall establish
21 with the applicant an information system(s) or contract(s) as may be
22 required to certify the total qualified labor hours, qualified labor
23 rates, and reimbursement through the qualified federal contract. A
24 qualified federal contractor may apply for an effective date for a

1 project, which shall not be more than twenty-four (24) months from
2 the date the application is submitted to the Department. No state
3 agency shall be required to make any payment to a qualified federal
4 contract verifier for any information needed by the agency to
5 perform any duty imposed upon it pursuant to the provisions of
6 Section 3601 et seq. of this title. All costs for the federal
7 contract verifier shall be reimbursed through value-added services
8 on the qualified federal contract or other mechanisms agreed to by
9 the federal contractor verifier and the federal contract performers.

10 D. In order to qualify to receive incentive payments as
11 authorized by the Oklahoma Quality Jobs Program Act, in addition to
12 other qualifications specified herein, a qualified federal
13 contractor shall be required to pay direct jobs an average
14 annualized wage which equals or exceeds:

15 1. One hundred ten percent (110%) of the average county wage as
16 determined by the Oklahoma Department of Commerce based on the most
17 recent ~~U.S.~~ United States Department of Commerce data for the county
18 in which the new direct jobs are located. For purposes of this
19 paragraph, health care premiums paid by the applicant for
20 individuals in new direct jobs shall be included in the annualized
21 wage; or

22 2. One hundred percent (100%) of the average county wage as
23 that percentage is determined by the Oklahoma Department of Commerce
24 based upon the most recent ~~U.S.~~ United States Department of Commerce

1 data for the county in which the new jobs are located. For purposes
2 of this paragraph, health care premiums paid by the applicant for
3 individuals in new direct jobs shall not be included in the
4 annualized wage.

5 Provided, no average wage requirement shall exceed Twenty-nine
6 Thousand Four Hundred Nine Dollars (\$29,409.00), in any county.
7 This maximum wage threshold shall be indexed and modified from time
8 to time based on the latest Consumer Price Index year-to-date
9 percent change release as of the date of the annual average county
10 wage data release from the Bureau of Economic Analysis of the ~~U.S.~~
11 United States Department of Commerce.

12 3. For qualified subcontractor work, the qualified federal
13 contractor shall have a minimum average qualified labor rate
14 requirement paid to the subcontractor of Thirty-one Dollars (\$31.00)
15 per hour, in any county. This maximum wage threshold shall be
16 indexed and modified from time to time based on the latest Consumer
17 Price Index year-to-date percent change release as of the date of
18 the annual average county wage data release from the Bureau of
19 Economic Analysis of the ~~U.S.~~ United States Department of Commerce.

20 E. The Oklahoma Department of Commerce shall determine if the
21 applicant is qualified to receive incentive payments using
22 information supplied to the Department by the qualified federal
23 contractor verifier. The ~~NAICS~~ North American Industry
24 Classification System (NAICS) code or codes under which the federal

1 government awarded the qualified federal contract shall be used to
2 determine the basic industry for a qualified federal contractor.
3 For federal contracts awarded under NAICS codes not within the
4 definition of basic industry pursuant to paragraph 1 of subsection A
5 of Section 3603 of this title, the Oklahoma Department of Commerce,
6 with the federal contract verifier, may evaluate and utilize
7 individual statement of work items that would qualify within a basic
8 industry definition.

9 F. If the applicant is determined to be qualified by the
10 Department, the Department shall conduct a ~~cost/benefit~~ cost-benefit
11 analysis to determine the estimated net direct state benefits and
12 the net benefit rate, as provided by subsection B of this section,
13 applicable for a ten-year period beginning with the first complete
14 calendar quarter following the start date and to estimate the amount
15 of gross payroll and total qualified labor hours for a ten-year
16 period beginning with the first complete calendar quarter following
17 the start date. In conducting such ~~cost/benefit~~ cost-benefit
18 analysis, the Department shall consider quantitative factors, such
19 as the anticipated level of new tax revenues to the state along with
20 the added cost to the state of providing services, and such other
21 criteria as deemed appropriate by the Department. In no event shall
22 incentive payments, cumulatively, exceed the estimated net direct
23 state benefits. Using this net ~~cost/benefit~~ cost-benefit analysis
24 model, the Department may establish the renewable ten-year contract

1 with a qualified federal contractor at the entity level to encompass
2 any current or future qualified federal contracts that meet the
3 ~~cost/benefit~~ cost-benefit analysis metrics as determined by the
4 federal contractor verifier and confirmed by the Department.

5 G. Upon approval of such an application, the Department shall
6 notify the Tax Commission and shall provide it with a copy of the
7 contract that has been cosigned by the federal contractor verifier
8 and the results of the ~~cost/benefit~~ cost-benefit analysis. The Tax
9 Commission may require the qualified federal contractor, federal
10 contract verifier, and qualified subcontractors to submit such
11 additional information as may be necessary to administer the
12 provisions of the Oklahoma Quality Jobs Program Act. The approved
13 qualified federal contractor shall file quarterly claims with the
14 Tax Commission and shall continue to file such quarterly claims
15 during the ten-year incentive period to show its continued
16 eligibility for incentive payments, as provided in Section 3606 of
17 this title, or until it is no longer qualified to receive incentive
18 payments. The qualified federal contractor may be audited by the
19 Tax Commission to verify such eligibility. Once the qualified
20 federal contractor is approved, an agreement shall be deemed to
21 exist between the qualified federal contractor and ~~the State of~~
22 ~~Oklahoma~~ this state, requiring the continued incentive payment to be
23 made as long as the qualified federal contractor retains its
24 eligibility as defined in and established pursuant to this section

1 and Sections 3603 and 3606 of this title and within the limitations
2 contained in the Oklahoma Quality Jobs Program Act, which existed at
3 the time of such approval.

4 H. For qualified federal contracts with periods of performance
5 exceeding two (2) years, if the actual annual verified gross
6 qualified labor hours for four (4) consecutive calendar quarters
7 ~~does~~ do not equal or exceed Two Million Five Hundred Thousand
8 Dollars (\$2,500,000.00) within three (3) years of the start date, or
9 ~~does~~ do not equal or exceed actual annual gross qualified labor
10 hours of Two Million Five Hundred Thousand Dollars (\$2,500,000.00)
11 at any other time during the ten-year period after the start date,
12 the incentive payments shall not be made and shall not be resumed
13 until such time as the actual annual qualified labor hours exceed
14 Two Million Five Hundred Thousand Dollars (\$2,500,000.00).

15 I. If the average annualized wage or minimum average qualified
16 labor rate required by subsection H of this section is not met
17 during any calendar quarter, the incentive payments shall not be
18 made and shall not be resumed until such time as such requirements
19 are met.

20 J. Before approving a quarterly incentive payment for a
21 qualified federal contract, the federal contract verifier must first
22 determine through the Department that neither the qualified federal
23 contractor nor the subcontractor are receiving incentive payments
24 under the Oklahoma Quality Jobs Program Act, ~~the Saving Quality Jobs~~

1 ~~Act,~~ the 21st Century Quality Jobs Incentive Act or the Former
2 Military Facility Development Act for the performance of the same
3 such services under the qualified federal contract and is not
4 qualified for approval of an application for incentive payments
5 under the Oklahoma Quality Jobs Program Act, ~~the Saving Quality Jobs~~
6 ~~Act,~~ the 21st Century Quality Jobs Incentive Act or the Former
7 Military Facility Development Act for the performance of the same
8 such services under the qualified federal contract. If the
9 qualified federal contractor or the subcontractor ~~are~~ is receiving
10 or ~~have~~ has an approved application for incentive payments under the
11 Oklahoma Quality Jobs Program Act, ~~the Saving Quality Jobs Act,~~ the
12 21st Century Quality Jobs Incentive Act or the Former Military
13 Facility Development Act for the performance of the same such
14 services under the qualified federal contract, each may choose to
15 defer in part or in entirety the other incentives for the qualified
16 federal contractor to receive the incentives pursuant to subsection
17 B of this section. The federal contract verifier shall confirm any
18 deferrals and ensure the total for all quality jobs incentive
19 payments on any individual does not exceed the total net benefit to
20 the state. Should neither the federal contractor nor the
21 subcontractor defer in part or in entirety their incentive payments
22 such that the total for all ~~Quality Jobs~~ quality jobs incentive
23 payments exceeds the total net benefit to the state, the priority
24 for incentive payments shall go to the entity with the earliest

1 recognized start date ~~identified~~ identified within the current
2 Oklahoma Department of Commerce ~~Quality Jobs~~ quality jobs contract.

3 SECTION 4. AMENDATORY 68 O.S. 2021, Section 3606, as
4 last amended by Section 2, Chapter 29, 1st Extraordinary Session,
5 O.S.L. 2023 (68 O.S. Supp. 2025, Section 3606), is amended to read
6 as follows:

7 Section 3606. A. As soon as practicable after the end of the
8 first complete calendar quarter following the start date, the
9 establishment shall file a claim for the payment with the Oklahoma
10 Tax Commission and shall specify the actual number and gross payroll
11 of new direct jobs for the establishment for the calendar quarter.
12 The Tax Commission shall verify the actual gross payroll for new
13 direct jobs for the establishment for such calendar quarter. If the
14 Tax Commission is not able to provide such verification utilizing
15 all available resources, the Tax Commission may request such
16 additional information from the establishment as may be necessary or
17 may request the establishment to revise its claim. An establishment
18 may file for an extension of the initial filing date with the
19 Oklahoma Department of Commerce. Any such extension shall be based
20 solely upon an extraordinary adverse business circumstance which
21 prevented the establishment from hiring the new direct jobs as
22 projected. If an establishment fails to file claims as required by
23 this section, it shall forfeit the right to receive any incentive
24 payments after three (3) years from the start date. If an

1 establishment has filed at least one claim pursuant to this section
2 but fails to file another claim within two (2) years of the most
3 recent claim, the Tax Commission, after consulting with the Oklahoma
4 Department of Commerce, may dismiss the establishment from the
5 program, forfeiting the establishment's right to receive incentive
6 payments based on that contract.

7 B. 1. Except as otherwise provided in paragraph 2 of this
8 subsection, if the actual verified gross payroll for four (4)
9 consecutive calendar quarters does not equal or exceed the
10 applicable total required by Section 3604 of this title within three
11 (3) years of the start date, or does not equal or exceed the
12 applicable total required by Section 3604 of this title at any other
13 time during the ten-year period after the start date or during the
14 thirty-year period after the start date for establishments defined
15 or classified in the NAICS North American Industry Classification
16 System (NAICS) Manual under U.S. Industry No. 711211 (2007 version),
17 the incentive payments shall not be made and shall not be resumed
18 until such time as the actual verified gross payroll equals or
19 exceeds the amounts specified in Section 3604 of this title. If an
20 establishment fails to achieve the required gross payroll within
21 three (3) years of the start date, the establishment shall not make
22 a new or renewal application for incentive payments authorized
23 pursuant to the Oklahoma Quality Jobs Program Act for a period of
24 twelve (12) months from the last day of the last month of the three-

1 year period during which the required gross payroll amount was not
2 achieved.

3 2. Any establishment which does not meet the quarterly payroll
4 requirements provided pursuant to paragraph 1 of this subsection
5 during the time period which begins on April 1, 2020, and ends on
6 June 30, 2021, shall continue to receive incentive payments and
7 shall be exempt from the prescribed limitations.

8 C. If the average annualized wage required for an establishment
9 does not equal or exceed the amount specified in paragraph 1 or 2 of
10 subsection F of Section 3604 of this title during any calendar
11 quarter, the incentive payments shall not be made and shall not be
12 resumed until such time as such requirements are met.

13 D. In no event shall incentive payments, cumulatively, exceed
14 the estimated net direct state benefits, except for establishments
15 subject to the provisions of subparagraph d of paragraph 7 of
16 subsection A of Section 3603 of this title.

17 E. An establishment that has qualified pursuant to Section 3604
18 of this title may receive payments only in accordance with the
19 provisions of the law under which it initially applied and was
20 approved. If an establishment that is receiving incentive payments
21 expands, it may apply for additional incentive payments based on the
22 gross payroll anticipated from the expansion only, pursuant to
23 Section 3604 of this title. Provided, an establishment which has
24 suffered an extraordinary adverse business circumstance, as

1 certified by the Incentive Approval Committee, may be allowed to
2 voluntarily withdraw from the Oklahoma Quality Jobs Program, repay
3 to the Tax Commission the total amount of incentive payments
4 received pursuant to the provisions of this section, plus interest
5 at the rate specified in Section 727.1 of Title 12 of the Oklahoma
6 Statutes, and reapply to the Department for a new incentive contract
7 if the establishment qualifies pursuant to the provisions of the
8 Oklahoma Quality Jobs Program Act. Any funds received by the Tax
9 Commission pursuant to the provisions of this subsection shall be
10 apportioned in the manner that income tax revenues are apportioned.

11 F. An establishment that is receiving incentive payments may
12 not apply for additional incentive payments for any new projects
13 until twelve (12) quarters after receipt of the first incentive
14 payment, or until the establishment's actual verified gross payroll
15 for new direct jobs equals or exceeds Two Million Five Hundred
16 Thousand Dollars (\$2,500,000.00) during any four consecutive-
17 calendar-quarter period, whichever comes first. After meeting the
18 requirements of this subsection, an establishment may apply for
19 additional incentive payments based upon the gross payroll
20 anticipated from an expansion only.

21 G. As soon as practicable after verification of the actual
22 gross payroll as required by this section and except as otherwise
23 provided by subsection K of Section 3604 of this title, the Tax
24 Commission shall issue a warrant to the establishment in the amount

1 of the net benefit rate multiplied by the actual gross payroll as
2 determined pursuant to subsection A of this section for the calendar
3 quarter.

4 H. If after three (3) years of the start date, an establishment
5 fails to submit filings to the Oklahoma Tax Commission on an annual
6 basis, the establishment may be dismissed from the Oklahoma Quality
7 Jobs Program by the Oklahoma Department of Commerce. If an
8 establishment is dismissed from the Oklahoma Quality Jobs Program by
9 the Oklahoma Department of Commerce, no additional incentive
10 payments shall be made to the establishment after dismissal.

11 SECTION 5. AMENDATORY 68 O.S. 2021, Section 3905, is
12 amended to read as follows:

13 Section 3905. A. 1. Beginning with the first complete
14 calendar quarter after the application of the establishment is
15 approved by the Oklahoma Department of Commerce, the establishment
16 shall begin filing quarterly reports with the Oklahoma Tax
17 Commission that specify the actual number and individual gross
18 taxable payroll of new direct jobs for the establishment and such
19 other information as required by the Tax Commission. In no event
20 shall the first claim for incentive payments be filed later than
21 three (3) years from the start date designated by the Department.
22 The Tax Commission shall verify the actual individual gross taxable
23 payroll for new direct jobs. If the Tax Commission is not able to
24 provide such verification utilizing all available resources, the Tax

1 Commission may request additional information from the establishment
2 as may be necessary or may request the establishment to revise its
3 reports.

4 The establishment shall continue filing such reports during the
5 seven-year incentive period or until it is no longer qualified to
6 receive incentive payments. Such reports shall constitute a claim
7 for quarterly incentive payments by the establishment.

8 2. Upon receipt of a report for the initial calendar quarter of
9 the incentive period and for each subsequent calendar quarter
10 thereafter, the Tax Commission shall determine if the establishment
11 has met the following requirements:

- 12 a. created ~~and~~ or maintained the minimum number of new
13 direct jobs as specified in paragraph 3 of subsection
14 C of Section 3904 of this title, and
15 b. paid the individuals it employed in new direct jobs an
16 annualized wage which equaled or exceeded the
17 applicable percentage of the average county wage as
18 that percentage was determined by the Oklahoma
19 Department of Commerce upon approval of the
20 application.

21 3. Upon determining that an establishment has met the
22 requirements of paragraph 2 of this subsection for the initial
23 calendar quarter of the incentive period, the Tax Commission shall
24 issue a warrant to the establishment in an amount which shall be

1 equal to the net benefit rate multiplied by the amount of gross
2 taxable payroll of new direct jobs actually paid by the
3 establishment.

4 B. Except as provided in subsection C of this section, the
5 quarterly incentive payment provided for in subsection A of this
6 section shall be allowed in each of the twenty-seven subsequent
7 calendar quarters.

8 C. 1. An establishment which does not meet the requirements of
9 paragraph 2 of subsection A of this section within twelve (12)
10 months of the date of its application, or after July 1, 2011, within
11 twenty-four (24) months of the date of its application, shall be
12 ineligible to receive any incentive payments pursuant to its
13 application and approval.

14 2. An establishment which at any time during the twenty-seven
15 subsequent calendar quarters does not meet the requirements of
16 paragraph 2 of subsection A of this section shall be ineligible to
17 receive an incentive payment during the calendar quarter in which
18 such requirements are not met.

19 SECTION 6. AMENDATORY 68 O.S. 2021, Section 3914, is
20 amended to read as follows:

21 Section 3914. A. Except for the payment amount required by
22 subsection E of this section, an establishment which meets the
23 qualifications specified in the 21st Century Quality Jobs Incentive
24 Act may receive quarterly incentive payments for a ten-year period

1 from the Oklahoma Tax Commission pursuant to the provisions of ~~this~~
2 ~~act~~ the 21st Century Quality Jobs Incentive Act, as verified by the
3 Tax Commission, in an amount equal to:

4 1. The gross payroll multiplied by the initial net benefit rate
5 until such time as the establishment creates ten new direct jobs; or

6 2. The gross payroll multiplied by the fulfillment net benefit
7 rate after such time as the establishment created and maintains ten
8 new direct jobs.

9 B. In order to receive incentive payments, an establishment
10 shall apply to the Oklahoma Department of Commerce. The application
11 shall be on a form prescribed by the Department and shall contain
12 such information as may be required by the Department to determine
13 if the applicant is qualified. The establishment may apply for an
14 effective date for a project, which shall not be more than twelve
15 (12) months from the date the application is submitted to the
16 Department.

17 C. Before approving an application for incentive payments, the
18 Department must first determine that the applicant meets the
19 following requirements:

20 1. Be engaged in a basic industry as defined in the 21st
21 Century Quality Jobs Incentive Act;

22 2. Will hire at least ten full-time employees in this state
23 within twelve (12) quarters of the date of application;
24

1 3. Will pay the individuals it employs in new direct jobs an
2 average annualized wage which equals or exceeds three hundred
3 percent (300%) of the average county wage for the county in which
4 the applicant is located as that percentage is determined by the
5 Oklahoma Department of Commerce based on the most recent ~~U.S.~~ United
6 States Department of Commerce data. For purposes of this paragraph,
7 health care premiums paid by the applicant for individuals in new
8 direct jobs shall not be included in the annualized wage. Provided,
9 no average wage requirement shall exceed Ninety-four Thousand
10 Dollars (\$94,000.00) in any county. This maximum wage threshold
11 shall be indexed and modified from time to time based on the latest
12 Consumer Price Index year-to-date percent change release as of the
13 date of the annual average county wage data release from the Bureau
14 of Economic Analysis of the ~~U.S.~~ United States Department of
15 Commerce;

16 4. Has a basic health benefit plan which, as determined by the
17 Department, meets the elements established under divisions (1)
18 through (7) of subparagraph b of paragraph 1 of subsection A of
19 Section 3603 of this title and which will be offered to individuals
20 within twelve (12) months of employment in a new direct job;

21 5. Has not received incentive payments under the Small Employer
22 Quality Jobs ~~Program~~ Incentive Act, ~~the Saving Quality Jobs Act~~ or
23 the Former Military Facility Development Act; and
24

1 6. Is not qualified for approval of an application for
2 incentive payments under the Small Employer Quality Jobs ~~Program~~
3 Incentive Act, ~~the Saving Quality Jobs Act~~ or the Former Military
4 Facility Development Act.

5 D. The Oklahoma Department of Commerce shall determine if an
6 applicant is qualified to receive the incentive payment. Upon
7 qualifying the applicant, the Department shall notify the Tax
8 Commission and shall provide it with a copy of the contract and
9 approval which shall provide the number of persons employed by the
10 applicant upon the date of approval and the maximum total incentives
11 which may be paid to the applicant during the ten-year period. The
12 Tax Commission may require the qualified establishment to submit
13 additional information as may be necessary to administer the
14 provisions of ~~this act~~ the 21st Century Quality Jobs Incentive Act.
15 The approved establishment shall report to the Tax Commission
16 quarterly to show its continued eligibility for incentive payments,
17 as provided in Section 3905 of this title. Establishments may be
18 audited by the Tax Commission to verify such eligibility. Once the
19 establishment is approved, an agreement shall be deemed to exist
20 between the establishment and the State of Oklahoma, requiring
21 incentive payments to be made for a ten-year period as long as the
22 establishment retains its eligibility and within the limitations of
23 ~~this act~~ the 21st Century Quality Jobs Incentive Act as it existed
24 at the time of such approval.

1 E. For any contract executed by an establishment on or after
2 ~~the effective date of this act~~ August 2, 2018, five percent (5%) of
3 the quarterly incentive payment amount shall be transferred by the
4 Oklahoma Tax Commission to the Oklahoma Quick Action Closing Fund.

5 SECTION 7. AMENDATORY 68 O.S. 2021, Section 3915, is
6 amended to read as follows:

7 Section 3915. A. 1. Beginning with the first complete
8 calendar quarter after the application of the establishment is
9 approved by the Oklahoma Department of Commerce, the establishment
10 shall begin filing quarterly reports with the Oklahoma Tax
11 Commission that specify the actual number and individual gross
12 taxable payroll of new direct jobs for the establishment and such
13 other information as required by the Tax Commission. In no event
14 shall the first claim for incentive payments be filed later than
15 three (3) years from the start date designated by the Department.
16 The Tax Commission shall verify the actual individual gross taxable
17 payroll for new direct jobs. If the Tax Commission is not able to
18 provide such verification utilizing all available resources, the Tax
19 Commission may request additional information from the establishment
20 as may be necessary or may request the establishment to revise its
21 reports.

22 The establishment shall continue filing such reports during the
23 ten-year incentive period or until it is no longer qualified to
24

1 receive incentive payments. Such reports shall constitute a claim
2 for quarterly incentive payments by the establishment.

3 2. Upon receipt of a report for the initial calendar quarter of
4 the incentive period and for each subsequent calendar quarter
5 thereafter, the Tax Commission shall determine if the establishment
6 has met the following requirements:

7 a. during the initial twelve (12) quarters of the
8 contract or until the establishment creates ten new
9 direct jobs, paid the individuals it employed in new
10 direct jobs an average annualized wage that exceeded
11 the requirements of paragraph 3 of subsection C of
12 Section 3914 of this title, or

13 b. after the establishment created ten new direct jobs:

14 (1) paid the individuals it employed in new direct
15 jobs an average annualized wage which equaled or
16 exceeded the requirements of paragraph 3 of
17 subsection C of Section 3914 of this title, and

18 (2) created ~~and/or~~ or maintained the minimum number
19 of new direct jobs as specified in the 21st
20 Century Quality Jobs Incentive Act.

21 3. Upon determining that an establishment has met the
22 requirements of paragraph 2 of this subsection for the initial
23 calendar quarter of the incentive period, the Tax Commission shall
24

1 issue a warrant to the establishment in an amount which shall be
2 equal to either:

3 a. the initial net benefit rate multiplied by the amount
4 of gross taxable payroll of new direct jobs actually
5 paid by the establishment during the initial twelve
6 (12) quarters of the contract or until the
7 establishment reaches ten new direct jobs, whichever
8 comes first, or

9 b. the fulfillment net benefit rate multiplied by the
10 amount of gross taxable payroll of new direct jobs
11 actually paid by the establishment after it creates or
12 maintains ten new direct jobs.

13 B. Except as provided in subsection C of this section, the
14 quarterly incentive payment provided for in subsection A of this
15 section shall be allowed in each of the thirty-nine (39) subsequent
16 calendar quarters.

17 C. 1. An establishment which does not meet the requirements of
18 paragraph 2 of subsection A of this section within twelve (12)
19 quarters of the date of its application shall be ineligible to
20 receive any incentive payments pursuant to its application and
21 approval.

22 2. An establishment which at any time during the thirty-nine
23 (39) subsequent calendar quarters does not meet the requirements of
24 paragraph 2 of subsection A of this section shall be ineligible to

1 receive an incentive payment during the calendar quarter in which
2 such requirements are not met.

3 3. An establishment which has met the requirements of paragraph
4 2 of subsection A of this section within twelve (12) quarters of the
5 date of its application, but which at any time during the subsequent
6 twenty-eight (28) quarters fails to meet the requirements of
7 paragraph 2 of subsection A of this section in four (4) consecutive
8 quarters, shall be ineligible to receive any further incentive
9 payments pursuant to its application and approval.

10 SECTION 8. This act shall become effective November 1, 2026.
11

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